

An Act

ENROLLED SENATE
BILL NO. 2060

By: Haste and Mann of the
Senate

and

Lawson, Caldwell (Trey),
and Hefner of the House

An Act relating to improvement districts; amending 11 O.S. 2021, Sections 39-101, 39-102, and 39-103, which relate to short title, definitions, and creation of certain districts; modifying short title; modifying definitions; providing for the creation of master development districts upon certain approval; establishing requirements and procedures for approval of applications for the creation of certain districts; allowing protests of approvals within specified time period; authorizing districts to adopt rules and bylaws; requiring inclusion of certain provisions in governing document; granting certain rights and powers to board of supervisors of master development districts; authorizing lien on real property for assessments levied by the master development districts; authorizing districts to make certain improvements; construing provisions; requiring obligations be payable from certain sources; authorizing districts to take certain actions related to works or improvements; granting districts certain contracting authority; requiring certain parties enter into a master development agreement; establishing requirements for master development agreements; directing the State Treasurer to develop certain template; authorizing certain covenants; amending 11 O.S. 2021, Section 39-115, which relates to the issuance of certain bonds; authorizing the issuance of certain bonds by districts; modifying and specifying applicability of certain provisions; updating statutory language;

prohibiting certain utility ownership or services from being provided; providing for codification; and providing an effective date.

SUBJECT: Improvement districts

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 11 O.S. 2021, Section 39-101, is amended to read as follows:

Section 39-101. This act shall be known and may be cited as the ~~Improvement District Act~~ "Building Utilities and Infrastructure for Long-term Development (BUILD) Act".

SECTION 2. AMENDATORY 11 O.S. 2021, Section 39-102, is amended to read as follows:

Section 39-102. As used in the ~~Improvement District~~ Building Utilities and Infrastructure for Long-term Development (BUILD) Act, the singular includes the plural and:

1. "Acquired" means the acquisition of property or interests in property by purchase, gift, condemnation or other lawful means;

2. "City" means any city or town incorporated pursuant to the laws of ~~Oklahoma~~ this state;

3. ~~"Engineer" means a city engineer, city official, employee or other person competent to advise and assist the governing body in planning and making an improvement;~~

~~4.~~ "Cost" means any cost necessarily or reasonably incurred in making the improvement, including, but not limited to, cost of:

- a. preparation of preliminary reports,
- b. preparation of plans and specifications,

- c. preparation and publication of notices of hearings, resolutions, ordinances and other proceedings,
- d. fees and expenses for engineers, attorneys, laborers and other personal services,
- e. rights-of-way, materials and other lawful expenses incurred in making any improvement, and
- f. capitalized interest, funding of reserves, premiums for reserve surety bonds, and obtaining bond insurance, letters of credit or other credit enhancements or liquidity instruments;

~~5. 4. "District" means an area designated by the governing body to be benefited by an improvement and subjected to payment of special assessments for all or a portion of the cost of the improvement district or a master development district. Any reference in the BUILD Act to a district shall be construed to refer to the specific entity created under Section 39-103 of this title. Any power, duty, or authority granted to a district or the governing body of the district shall be exercised independently by the board of supervisors for a master development district, and by the municipal governing body for an improvement district;~~

5. "Engineer" means a city engineer, city official, employee, or other qualified person employed by a public or private entity who is competent to advise and assist the governing body of a city or master development district in planning and making an improvement;

6. "Governing body" means the city council, city commission or board of trustees of an incorporated city or town, or the board of supervisors of a master development district;

7. "Governing document" means the document governing the creation of an improvement district or master development district;

8. "Improve" means to construct, reconstruct, maintain, restore, replace, renew, repair, install, equip, extend, purchase, alter or otherwise perform any work which provides a new facility, or enhances, extends or restores the value or usefulness of an existing facility;

~~8.~~ 9. "Improvement" means any type of improvement made by authority of ~~this Improvement District~~ the BUILD Act and includes reimprovement of any prior improvement made pursuant to the BUILD Act or any other act;

10. "Improvement district" means an area designated by the governing body of a city to be benefited by an improvement and subjected to payment of special assessments for all or a portion of the cost of the improvement;

11. "Improvement plan" means a comprehensive report prepared by an engineer outlining the proposed improvements, a preliminary plat or map of the district, an estimate of costs, and a plan for the financing, construction, and maintenance of the improvements;

~~9.~~ 12. "Mail" means by first-class mail;

13. "Master development district" means an area within a city, municipality, or unincorporated area of a county with defined limits and boundaries that operates separately and distinctly from the city, municipality, or county and is subject to the provisions of the BUILD Act including, but not limited to, special assessments against real property in such district benefited by an improvement for the financing, repayment, or maintenance of the costs of the master development district's public improvements;

14. "Publish" or "publication" means printing in a newspaper which maintains an office in the city or town and is of general circulation within the city or town, or, if there is no newspaper which maintains an office in the city or town, a newspaper of general circulation within the city or town and in two separate issues thereof, at least seven (7) days apart;

15. "Street" means any highway, street, alley, boulevard, avenue, right-of-way, public ground, or other public facility, or any part thereof;

16. "Surface property owner" means the owner or owners of record of the surface of the property included in a proposed master development district or improvement district; and

~~10.~~ 17. "Trustee" means a city or master development district acting pursuant to ~~this act;~~

~~11. "Street" means any highway, street, alley, boulevard, avenue, right of way, public ground, or other public facility, or any part thereof; and~~

~~12. "Publish" or "publication" means printing in a newspaper which maintains an office in the city or town and is of general circulation within the city or town, or, if there is no newspaper which maintains an office in the city or town, a newspaper of general circulation within the city or town and in two (2) separate issues thereof, at least seven (7) days apart the BUILD Act.~~

SECTION 3. AMENDATORY 11 O.S. 2021, Section 39-103, is amended to read as follows:

Section 39-103. A. The governing body of any city may create one or more improvement districts for the purpose of making or causing to be made any improvement or combination of improvements that confer special benefit upon property within the district.

B. A master development district shall be created upon the approval of an application to the relevant governing body of a city or county in which the proposed master development district is situated, pursuant to the conditions in this subsection. Upon receipt of an application for a proposed master development district, the governing body of any city or board of county commissioners of any county may approve the creation of the master development district if the applicant demonstrates the following:

1. One hundred percent (100%) of the surface owners within the boundaries of the proposed master development district have consented in writing to its creation and approved the master development district's governing document and improvement plan;

2. The governing document prepared by the applicant includes all of the provisions in subsection F of this section;

3. An improvement plan for the district that is conducive to the long-term development of the city or county, as determined by

the governing board of the city or board of county commissioners of the county; and

4. Nothing in the improvement plan interferes with a city or county's ability to protect infrastructure, comprehensive planning, zoning, or any other requirements the city or county shall impose through contracts between the governing bodies and the applicant of the proposed master development district.

C. If the proposed master development district is located wholly within an unincorporated area of a county, the county may approve the creation of the master development district by vote of the board of county commissioners or other county entity designated by the board of county commissioners, under the same conditions provided in this section. If the proposed master development district is located wholly within the municipal limits of a city, the city may approve the creation of the master development district by vote of the governing body of the city. If the proposed master development district is partially within an unincorporated area of a county and partially within the municipal limits of a city, application for the proposed master development district shall be made to both the board of county commissioners and the city, and approval by both shall be required for the creation of the master development district.

D. Any protest challenging the creation of a master development district shall be filed within ten (10) business days following the official approval of the district by the governing body, unless otherwise preempted by law.

E. A master development district may adopt its own bylaws, rules, and regulations for the conduct of its business and the use of its facilities.

F. A master development district's governing document shall create an independent board of supervisors, which shall be the governing body of the master development district. The governing document shall include provisions that:

1. Restrict members of the independent board of supervisors and their immediate family members from holding an interest in any bond or other securities issued by the board; and

2. Delineate provisional officers of the board and a process for transferring control of the board to surface property owners of the district within a reasonable time frame, not to exceed ten (10) years from the initial board appointments.

G. The board of supervisors of a master development district shall have the same rights and powers over a master development district that the governing body of a city has over improvement districts, and shall have such other rights and powers as may be provided by law. The board of supervisors of a master development district shall have the power to levy, impose, and collect special assessments on the property within the district for the purpose of financing, operating, maintaining, repairing, or replacing district improvements, including the cost of bonds, reserves, and other obligations incurred by the district. All assessments levied by the master development district pursuant to the Building Utilities and Infrastructure for Long-term Development (BUILD) Act shall constitute a lien on the real property against which it is assessed from the date of the levy until paid, equal to the lien of all state, county, and municipal taxes, including ad valorem, and senior to all other liens or encumbrances, including mortgage liens.

H. The governing body of an improvement district or the board of supervisors of a master development district may make such improvements or combinations of improvements as it deems beneficial to the district. Such improvement or combination of improvements may include the following, without limitation because of enumeration:

1. Acquisition of property or interest in property when necessary for any of the purposes authorized by the ~~Improvement District~~ BUILD Act;

2. Opening, creating, widening and extending or altering of streets to improve paving, and surfacing, constructing and reconstructing gutters, curbs, sidewalks, crosswalks, driveway entrances and structures, drainage facilities, and service connections from sewers, water, gas, electricity and other utility mains, conduits or pipes;

3. Constructing or improving main and lateral storm water drains and sanitary sewer systems and facilities;

4. Installation or improvement of street lights and street lighting systems;

5. Construction or improvement of water mains and waterworks systems;

6. Improvement of parks, playgrounds, and recreational facilities;

7. Improvement of any street, parking or other facility by landscaping, or planting of trees, shrubs and other plants;

8. Constructing or improving dikes, levees and other flood control works, gates, lift stations, bridges and streets appurtenant thereto;

9. Constructing or improving vehicle and pedestrian bridges, overpasses and tunnels;

10. Constructing or improving retaining walls and area walls on public ways or land abutting thereon;

11. Constructing or improving property for off-street parking facilities, including construction and equipment of buildings thereon;

12. Constructing or improving pedestrian malls; ~~or~~

13. Acquiring, constructing, or improving libraries; or

14. Constructing or improving offsite facilities or infrastructure serving all or a portion of land within a district; notwithstanding that, such facilities or infrastructure may also serve areas outside a district, but subject to cost apportionment requirements of subsection A of Section 39-110 of this title.

Nothing in the BUILD Act shall be construed as authorizing a master development district to pledge the full faith and credit of the state or any political subdivision. Obligations of the district

shall be payable solely from the revenues and assessments of the master development district.

SECTION 4. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 39-103.2 of Title 11, unless there is created a duplication in numbering, reads as follows:

A. An improvement district or master development district is authorized to purchase, construct, acquire, own, operate, maintain, repair, improve, or extend inside and outside its boundaries any and all works, improvements, facilities, plants, equipment, and appliances necessary to accomplish the purposes of the district authorized by law, including all works, improvements, facilities, plants, equipment, and appliances incident, helpful, or necessary to:

1. Supply water for municipal uses, domestic uses, power, commercial purposes, and all other beneficial uses or controls;

2. Collect, transport, process, dispose of, and control all domestic, industrial, or commercial wastes whether in fluid, solid, or composite state;

3. Gather, conduct, divert, and control local storm water or other local harmful excesses of water in a district;

4. Irrigate the land in a district;

5. Alter land elevation in a district; and

6. Navigate waters of the district.

B. An improvement district or master development district may enter into contracts with public or private entities for the construction, operation, management, maintenance, or provision of facilities and services related to district facilities and improvements.

C. To ensure the financial stability and legal status of a master development district and the security of its assessments, the governing body of the approving city or board of county commissioners of the approving county, or both, as provided in

subsection C of Section 39-103 of Title 11 of the Oklahoma Statutes, and the board of supervisors of the master development district shall enter into a master development agreement.

1. The master development agreement shall constitute a binding contract and shall legally vest in the master development district development rights including, but not limited to, permitted uses, densities, phasing schedules, development standards, and intensities of use, for the duration of the master development district's existence. The city or county shall not unilaterally apply subsequent changes to zoning, land-use regulations, impact fees, or building codes that substantially impair the master development district's ability to generate the revenue necessary to service its bonded indebtedness.

2. The city or county shall finalize and execute the master development agreement within sixty (60) days of the date the master development district is created by vote of the applicable governing body; provided, such timeline may be extended by mutual agreement of the city or county and the master development district. To ensure statewide consistency and reduce administrative delay, the State Treasurer, in consultation with the Council of Bond Oversight, the Oklahoma Development Finance Authority, and any other officials needed, shall develop and make publicly available a Standard Master Development Agreement template to serve as the required basis for all such agreements. Any modifications to the standard template by a city or county shall be limited to project-specific technical infrastructure requirements and shall not impair the core vested rights or the financial security of the master development district.

D. A master development district may acquire, lease, sell, convey, or otherwise dispose of real or tangible property, including for facilities, parks, streets, or other improvements as permitted by law.

E. A master development district may covenant with bondholders, trustees, or holders of other obligations as to the operation, maintenance, and collection of assessments, and other acts necessary to secure the payment of such bonds.

SECTION 5. AMENDATORY 11 O.S. 2021, Section 39-115, is amended to read as follows:

Section 39-115. A. To pay all or any part of the cost of ~~the improvement~~ improvements in an improvement district, the governing body of a city may issue, in the name of the city or a public trust entity acting on behalf of the city, bonds in one or more series and in amounts not exceeding the total cost of the ~~improvement~~ improvements to be financed by each series, including costs of issuance, capitalized interest, funding of reserves, premiums for reserve surety bonds, and obtaining bond insurance, letters of credit or other credit enhancement or liquidity instruments in connection with each series.

B. To pay all or any part of the cost of improvements in a master development district, the master development district may issue, in the name of the district or a public trust entity acting on behalf of the master development district, bonds in one or more series and in amounts not exceeding the total cost of the improvements to be financed by such series, including costs of issuance, capitalized interest, funding of reserves, premiums for reserve surety bonds, and obtaining bond insurance, letters of credit, or other credit enhancement or liquidity instruments in connection with each series.

C. If ~~the~~ bonds issued pursuant to subsections A and B of this section recite that:

1. The proceedings relating to making the improvement and levying the assessments to pay for the improvement have been done in compliance with law; and

2. All prerequisites to the fixing of the assessment lien against the tract or parcel of land benefited by the improvement have been performed~~+~~,

such recital shall be conclusive evidence of the facts recited.

~~B. The bonds~~

D. Bonds issued pursuant to this section shall:

1. Recite the terms and conditions for their issuance;

2. Be payable from the money collected from the assessment authorized in ~~Section~~ Sections 39-111 and 39-112 of this title;

3. Bear a rate of interest not less than two percent (2%) of the rate of interest on the deferred installments of the assessment; and

4. Mature not later than thirty (30) years after the date of issuance of the bonds of a particular series.

~~C.~~ E. Payment of the bonds issued by a city or public trust on behalf of a city for a storm sewer, lighting, street, alley, curb, gutter or sidewalk improvement may be supplemented from gasoline tax money remitted by the State of Oklahoma on or before a date not more than twelve (12) months after the last deferred installment of an assessment is due from the owner of a tract or parcel of land so assessed. Payment of the bonds issued for a water, sewer, gas, electric or other improvement may be supplemented from the funds received by the water, sewer, gas, electric or other facility on or before a date not more than twelve (12) months after the last deferred installment of an assessment is due from the owner of a tract or parcel of land so assessed.

~~D.~~ F. The bonds may be issued to the contractor in payment for the construction of the improvement or may be issued and sold:

1. In payment of the city's or master development district's proportion of the cost of the improvement;

2. In payment of the proportionate cost if the improvement is done in cooperation with another governmental agency or master development district;

3. In payment of the construction of the improvement done under contract; or

4. In reimbursement to the city or master development district if the city or master development district constructed the improvement with city or district owned or leased equipment and city or district employees.

~~E.~~ G. Any city or master development district may contract for the issuance and sale of bonds or assignable certificates.

~~F.~~ H. Bonds or assignable certificates may be sold at a public or private sale at a discount.

~~G.~~ I. After the passage of thirty (30) days from the publication of the ordinance or resolution authorizing the issuance of district bonds, any action attacking the validity of any proceedings had or taken by the governing body of the city or master development district preliminary to and in the authorization and issuance of the bonds described in the notice is perpetually barred.

J. Bonds issued by master development districts pursuant to this section shall not:

1. Constitute public debt, liability, or obligation on behalf of a municipality or county; or

2. Be considered for any purpose of any constitutional, statutory, or charter debt limitation applicable to a municipality, county, or school district, or impair the bonding authority of the same.

K. A master development district created under the Building Utilities and Infrastructure for Long-term Development (BUILD) Act shall be a body corporate and politic and a political subdivision of the state. A master development district shall have the power to sue and be sued, to plead and be impleaded, to contract and be contracted with, and to have a corporate seal.

SECTION 6. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 39-122 of Title 11, unless there is created a duplication in numbering, reads as follows:

Nothing in this act shall be construed to authorize districts to provide electric or natural gas service, construct or own electric or natural gas utility facilities, contract for or receive electric or natural gas service from a party which is not authorized to provide retail electric or natural gas services in this state, impair the rights or property of a certified electric or natural gas

utility, or limit the jurisdiction of the Oklahoma Corporation Commission without the utility's consent.

SECTION 7. This act shall become effective November 1, 2026.

Passed the Senate the 15th day of April, 2026.

Presiding Officer of the Senate

Passed the House of Representatives the 14th day of April, 2026.

Presiding Officer of the House
of Representatives

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____

Approved by the Governor of the State of Oklahoma this _____

day of _____, 20_____, at _____ o'clock _____ M.

Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____